

Market Entry Strategy for Heytea in Italy

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1. Introduction

This report explores the strategic opportunities of HEYTEA to enter the Italian market, pointing out that the country's culture is open and the demand for high-end drinks is growing. Relying on its proprietary tea technology, digital supply chain efficiency and minimalist brand image, Heytea intends to enter the market through the wholly owned subsidiary model under the Transnational Strategy to achieve a balance between global consistency and local innovation. The report identifies major legal and ethical risks such as intellectual property rights, food safety and anti-bribery, and mitigates them through the HACCP system and the CSR strategy based on the Carroll social responsibility pyramid model to help enterprises achieve sustainable growth and cultural legitimacy in Italy.

2. Purpose of the Report

This report aims to analyze the feasibility of Heytea's entry into Italy, including the brand's entry mode, ethical issues and competitive strategies. Heytea was founded in China in 2014 and has gradually become a leading tea brand in China, and has achieved great results in global expansion. In recent years, Heytea first established branches in Singapore, Germany and other Asian regions, and then gradually expanded to the United Kingdom, Australia, the United States and other regions, in line with the gradual internationalization path of gradually increasing the degree of internationalization with the accumulation of experience and knowledge in the Uppsala model (Figueira-de-Lemo S, Johanson, & Vahlne, 2011), with certain international experience. As a country with a long-standing coffee drinking culture, Italy has a location advantage that matches the cultural image of the Heytea brand, which is the goal of brand expansion. This report is only based on the expansion of physical stores, does not include e-commerce channels, and this report may face the limitation of incomplete information. In general, Heytea hopes that the results will enter the Italian market and further establish a certain market position in Europe.

3. Target Country Attractiveness and Risk Assessment

3.1 Preliminary Screening

From a macro perspective, Italy shows a relatively stable population and economic foundation. According to the data disclosed by Istat and World Bank, as shown in Table 1,Italy's population has remained around 59 million in recent years, and the population structure has the characteristics of high urbanization and population aging; the

country's GDP growth rate reached 6.60% in 2021, and in the past five years It is in a state of stable and slow growth; the per capita GDP will rise to about $40,000 by 2024, the purchasing power of residents is strong, and the overall macroeconomic environment shows mature and stable economic characteristics. Italy's overall low-volatile economic environment provides a good market foundation for the entry of Heytea, a tea brand.

3.2 Market Potential Assessment

Italy's population of 59 million and a relatively large middle-class group have a continuous demand for high-end health drinks, which allows it to maintain a large advantage in terms of market potential and operational potential. According to the research report of MarketLine (2024), Italy's soft drink market will reach $16.85 billion in 2023, with a steady growth trend. Italy's logistics and communication facilities are relatively complete, with high-quality fruit and vegetable raw material output, which has a high degree of compatibility with the brand's head products; the labor cost is high, but it focuses on efficiency. In the OLI model, Italy has both market-seeking location advantages and some efficiency-seeking advantages (Dunning, 1980) and has a large market potential.

3.3 Risk assessment

Italy has moderate entry risks for Heytea. Italy's long-term democratic system makes the risk of nationalization low, and the country's relatively perfect food safety legal system can be easily handled by Heytea's rich international experience. In general, the political risk is low. Economically, Italy's exchange rate fluctuations and high taxation will bring certain financial pressures, and the competition in brand markets such as Chatime and La Via del Tè will intensify; and the slow administrative approval and labor regulations may also pose certain operational risks to the entry of Heytea.

Italian coffee culture constitutes a significant cultural barrier to other soft drinks (Ceramella, 2024). Local consumers have the characteristics of consumption habits instead of difficulties, which is a concrete embodiment of the disadvantage of outsiders faced by Heytea (Zaheer, 1995). However, according to the theory of Wang and Sun (2024), Heytea can learn from competitors to reduce LOF through market seeking, location advantages and cultural integration strategies (such as the concept of "tea + coffee" and local cooperation), thus reducing risks.

4. Appropriate Market Entry Models

4.1 Vertical Comparison

The choice of enterprise entry mode is essentially a trade-off between reducing transaction costs and obtaining local resources (Wan, 2023). Combined with Heytea's own situation, there are three types of models suitable for Heytea to enter the Italian market: franchise, joint venture and wholly owned subsidiary. These three types of models will be discussed below. Excellent and inferior.

The advantage of the franchise model is that Heytea can alleviate the disadvantages of outsiders through local franchisees, thus allowing it to expand rapidly with low capital investment; but this will bring the risk of inconsistent service quality and product quality of each store. Considering that the unique advantage of Heytea lies in its high product quality and the attractiveness of oriental Zen culture, this model will weaken this advantage, so it is not the best solution.

In the joint venture model, Heytea can improve its legitimacy and cultural adaptability by combining its unique product formula with local market resources through in-depth cooperation with local partners. This model is in line with the logic of internalization advantages in the OLI model. However. Cultural differences between enterprises and inconsistent work efficiency may bring greater risks. Heytea needs to spend considerable money to screen allies and trial and error to avoid conflicts, and this model is not the best choice.

Finally, the wholly owned subsidiary model will bring a high tax burden to Heytea, but this model can maintain complete control over the brand and the consistency of products, culture and services. Considering that this is the biggest advantage of Heytea, and through vertical comparison, choosing this model is the most suitable for Heytea's expansion.

4.2Comparative Analysis

According to the OLI Model, the choice of entry mode can be judged by integrating the role of three types of advantages - ownership advantage, location advantage and internalization advantage. The following will be analyzed for different modes to derive the most suitable entry mode.

The main ownership advantage of Heytea comes from its intangible assets, which is also the core embodiment of its ownership advantage. It includes a unique tea blending technology, product formula, digital ordering and supply chain system, and a unique brand image that integrates oriental tea aesthetics and Zen culture. These firm-specific advantages are the key to the differentiation of Heytea, and they are also the key to the

brand to attract customers and thus improve customer loyalty. In the theory of Dunning (1980), enterprises with proprietary knowledge and strong brand ability like Heytea should adopt internalized investment to protect the core competitiveness of the brand and prevent Stop brand dilution and knowledge leakage (Nguyen, J, 2023). The wholly owned subsidiary model can maximize the protection of the brand autonomy of Heytea, and the adoption of this model can maintain the core advantages of Heytea.

In addition to the above-mentioned advantages of protecting intellectual property rights and strengthening brands, the advantages of the wholly owned subsidiary model can also reduce transaction costs of Heytea, which is fully in line with Heytea's internalization advantages in Italy. Through this model, Heytea can fully control product quality and customer experience, so that its Italian stores can be unified with the service quality of stores in other countries and give full play to its advantages.

As mentioned earlier, Italy has a significant location advantage for Heytea. Italy, located in Europe, has a developed tourism economy, a long-standing high-end beverage consumption culture, and high purchasing power, which has brought great market potential to Heytea. In this environment, at the same time, Italy, as one of the members of the European Union, has relatively advanced regulatory transparency, developed logistics infrastructure and excellent raw material resources (fruit, tea, coffee, etc.), which will improve the efficiency of direct investment. Empirical research shows that it would be wise to adopt the equity-type on-plane model or the wholly owned subsidiary model in the above-mentioned stable environment (Pinho, 2007). As the host country, Italy has its own high market attractiveness and low political risk, which provides conditions for the maximization of the advantages of enterprise ownership.

Overall, although it provides Heytea with different model options for Italy's location advantages, the wholly owned subsidiary model is still the best way for Heytea to enter - not only maintaining the core competitiveness of the brand, but also the lowest risk model.

5. Strategic Pressure

The strategic pressure faced by Heytea to enter the Italian beverage market mainly comes from the market competition structure and consumer maturity. Research shows that when enterprises enter some deeply rooted cultural markets, they need to balance global integration and local responsiveness to face challenges (Bartlett & Ghoshal, 1989).

In general, the Italian beverage market shows the characteristics of fragmented

competition, that is, the coexistence of local handmade cafes, tea shops and international chain brands, dominated by Starbucks, Gong Cha and local coffee brands. Compared with oligopoly, this feature will make it difficult for Heytea to rely on low-price competition to form an advantage, which has a certain cost pressure. In addition, labor costs in Italy are relatively high. Heytea needs to focus on how to maintain its good quality and experience while controlling costs and improving its competitiveness. In any case, Heytea's brand positioning is high-end and has a strong premium ability. Actively using the standardized production process and digital supply chain system can reduce cost pressure and control costs.

In contrast, Italy's local strong coffee social culture and cultural barriers may bring greater local corresponding pressure. Theoretically speaking, subsidiary managers play a key role in coordinating the structural and cultural tension of the headquarters and the local market (Ngoasong, 2021), which requires Heytea to carry out deeper cultural embedding, provide corresponding social areas, improve menus, and co-create through ingredients (such as Sicilian citrus, Mediterranean vanilla) and Italian aesthetic store design realize the integration of products and culture, reducing the pressure of cultural response. The cost of trial and error to solve this problem is relatively high, and it is necessary to conduct full research on local culture and consumption intentions and make careful decisions.

6. Global Strategic Framework

In the theory of Integration–Responsiveness Framework proposed by Bartlett and Ghoshal (1989), enterprises need to take Global Integration and Local Responsiveness. For Heytea to enter the Italian market, the most suitable global strategy is a transnational strategy, which can not only maintain global efficiency consistency, but also adapt to the cultural preferences and lifestyles of Italian consumers. For details, please see Chart 1 on the attached page.

As mentioned earlier, Heytea will face high local corresponding pressure in Italy, which comes from Italian coffee culture; in addition, Italy also has Moderate Global Integration Pressure for Heytea. In the Integration–Responsiveness Framework, enterprises are more inclined to adopt Transnational Configuration in the face of double pressure to achieve the embedded balance between the global system and local practices. As an emerging market multinational enterprise from China, Heytea needs to pursue efficiency and differentiation at the same time in the face of mixed strategic pressure (Fan and Zhu, 2014). The outstanding feature of the transnational strategy is that it achieves operational coordination and cultural legitimacy through transnational

knowledge sharing and promoting interaction and innovation between subsidiaries and local culture. This strategy focuses on two aspects: global efficiency and local differentiation, compared with Multidomestic Stra, which focuses on local adaptation.

In practice, Heytea can cooperate with local designers to spread stories and attract consumers. By combining with the local food culture, Heytea can be based on Chinese refreshments in the menu adjustment, introduce local raw materials such as Sicilian citrus and Piedmont hazelnuts, and make products that combine Chinese tea base and Italian dessert culture, such as tiramisu cheese tea and Earl's tea Afujiaduo. In addition, at the operational level, the Heytea subsidiary should actively become the Local Learning Hub of multinational enterprises to lead European consumer research and taste research and development (Ngoasong, 2021). The operation framework can feedback the experience to the headquarters through the Reverse Innovation mechanism. At the same time, Heytea should integrate into the local cultural mechanism while maintaining a global unified training system, create a "shareable space" in line with Italian social culture, and enhance brand affinity and community belonging.

7. Response Strategies for Legal and Ethical Issues

Italy belongs to the Civil Law System, which is based on the written law, and the terms of the contract should be clear and legally binding. Heytea shall comply with Italian commercial and consumer protection regulations in franchise, supply and employment contracts. In order to protect Intellectual Property (IP), trademarks and design patents should be registered through the European Union Intellectual Property Office (EUIPO) and the World Intellectual Property Organization (WIPO) in a timely manner, and local lawyers should be hired. What needs to be protected includes trademarks, packaging, product names and unique technologies. According to the EU Competition Law, it is necessary to avoid exclusive distribution or price synergy to prevent the Antitrust Review of the Italian Competition Authority (AGCM). The contract shall be clearly applicable to Italian law and included in the Arbitration Clause, and it is recommended to use the Milan Chamber of Arbitration to handle disputes.

In the MarketLine (2023) report, the Italian beverage industry is strictly regulated, requiring products to be produced under hygienic conditions and have ingredient traceability and label compliance. Therefore, Heytea should establish a HACCP food safety system and strengthen raw material testing and allergen labeling to meet the requirements of the European Union's Food Hygiene Regulations.

According to Carroll's (1991) corporate social responsibility pyramid model (CSR

Pyramid), HEYTEA should fulfill its responsibilities in Italy from the four levels of economy, law, ethics and charity to achieve long-term legitimacy and stakeholder trust. Heytea should ensure that while pursuing sustainable profits, it supports the local supply chain and small and medium-sized producers to ensure the transparency of procurement. In terms of legal responsibility, strictly abide by Italian labor standards, consumer rights and environmental protection regulations to maintain operational compliance and corporate reputation.

Heytea should pay attention to cultural respect and sustainable development, adopt environmentally friendly packaging, reduce the use of plastic, and promote fair trade procurement. According to Transparency International, 2024, the Italian Corruption Perception Index (CPI) is 56/100, indicating a moderate risk. To this end, Heytea should formulate an Anti-Bribery Policy, conduct regular employee training, establish an anonymous reporting mechanism and an internal audit system, ensure that partners have a good moral reputation and transparency, and prevent conflicts of interest and moral risks.

8. Conclusions

This report believes that the Italian market is significantly attractive, and its growth in demand for high-end drinks, economic stability and cultural openness have created favorable conditions for Heytea to enter. According to the IR Framework, it is recommended to adopt the Wholly Owned Subsidiary under the Transnational Strategy to achieve a balance between global standardization and local innovation. Heytea's Ownership Advantage - including proprietary tea technology, digital supply chain and brand aesthetics - will ensure its competitive differentiation.

In terms of legal and ethical risks, enterprises can effectively mitigate the risks of intellectual property rights, food safety and anti-bribery by establishing a HACCP food safety system, completing the EU trademark registration, and implementing the CSR plan based on the Carroll social responsibility pyramid model. Through the integrated implementation of economic, legal, ethical and charitable responsibilities, Heytea can achieve cultural integration, brand legitimacy and sustainable global growth in Italy

AI Usage Instructions: This AI is solely employed for checking grammar and formatting. All independent thinking and writing tasks are to be completed solely by the student.

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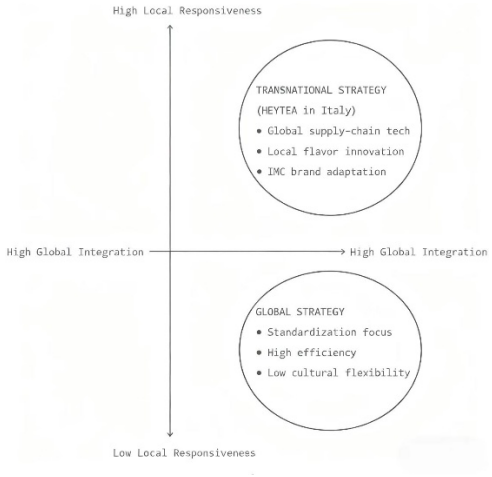
Appendix

Table 1: Italy — Key Economic and Demographic Indicators (2020–2024)

Italy — Key Economic and Demographic Indicators (2020–2024)					
year	Total Population (million)	Population Structure	GDP (current US$)	GDP Growth Rate (%) (approx.)	GDP per Capita (US$)
2020	≈59.0	Continued low fertility and aging trend	1.91 trillion	–8.9 %	≈ 32,000
2021	≈58.9	Low birth rate, slight increase in net migration	2.18 trillion	6.60%	≈ 36,900
2022	≈59.0	Deaths exceeded births, elderly share increased	2.10 trillion	3.80%	≈ 35,600
2023	≈58.97	Net migration continued, shrinking working-age share	2.30 trillion	1.50%	≈ 38,900
2024	≈58.99	Population stabilized but aging intensified	2.37 trillion	0.70%	≈ 40,200

Source: MarketLine Industry Report – *Italy: Country Analysis and Economic Outlook* (2024). Adapted by author.

Figure1: integration–Responsiveness Framework and Recommended Transnational Strategy for HEYTEA in Italy



Source: Adapted from Bartlett, C. A., & Ghoshal, S. (1989). *Managing Across Borders: The Transnational Solution.* Harvard Business School Press.